Umeme Limited

FY 2018 Results Presentation

Umeme
Powering Uganda

Contents

- Macro Economic Update
- Electricity Supply Industry Overview
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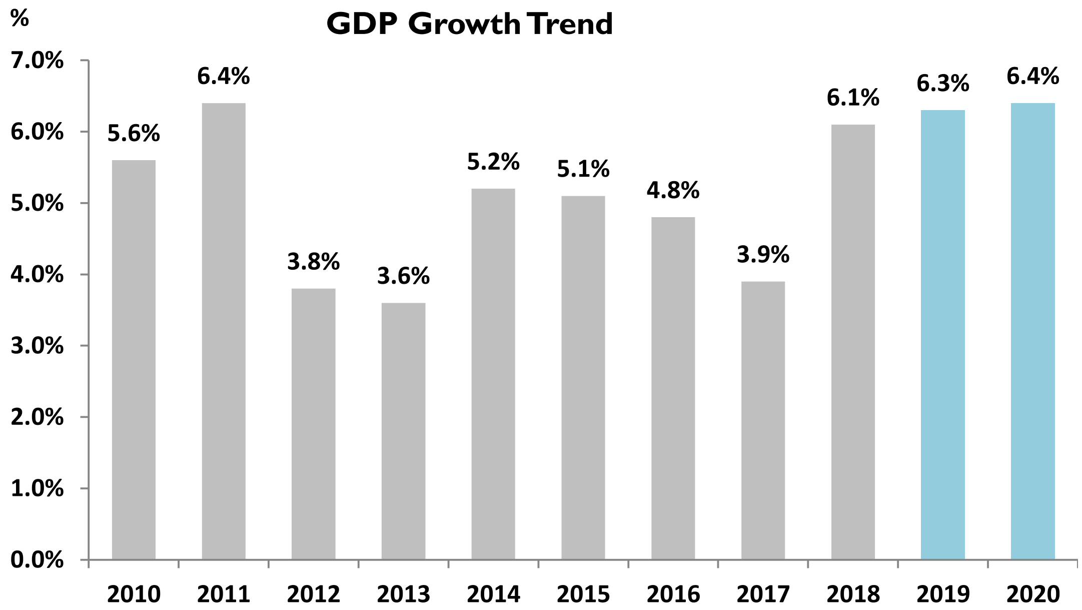
Macro Economic Update

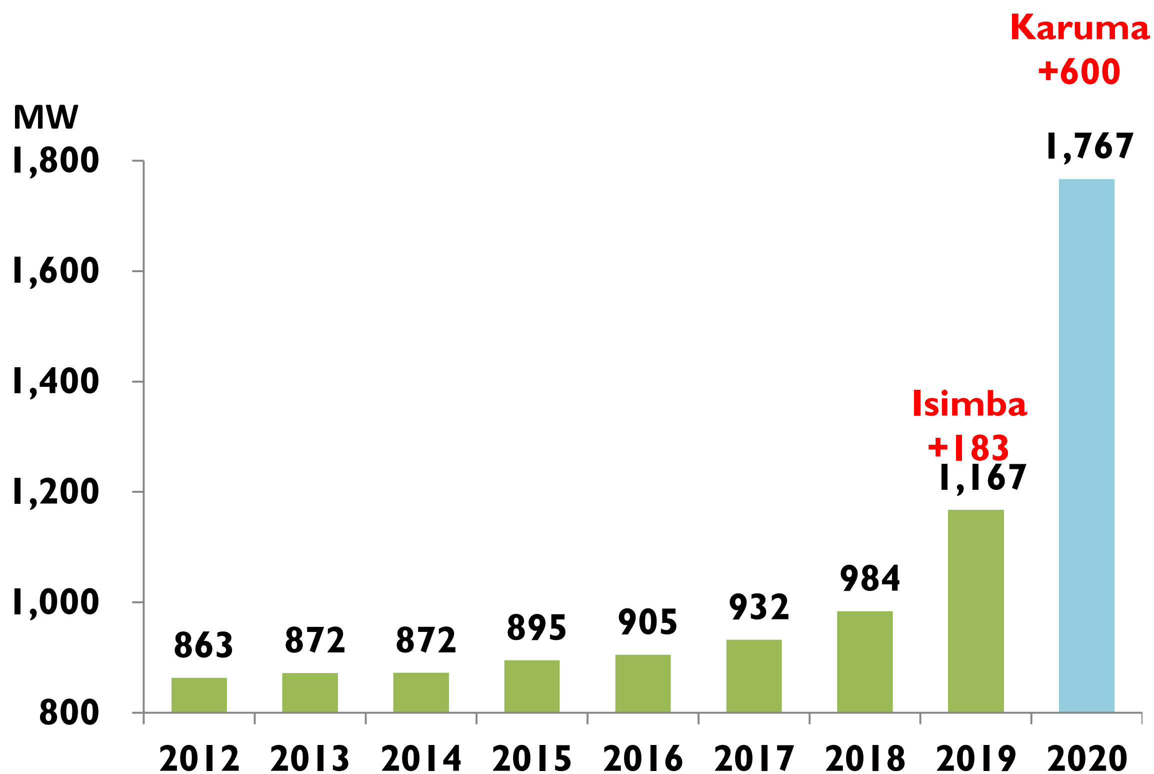


Source: UBOS, Bank of Uganda

- 2018 Headline Inflation average – 2.6% (from 5.6%)
- 2018 Currency performance – 2% vs 1% weakening in 2017
- FY 2018/19 growth projected at 6.3% supported by accommodative monetary policy, infrastructure spending, stronger credit growth and improved agriculture performance

- Real GDP up 6.1% supported by rise in private sector credit, favourable weather
- Gov't focus on infrastructure supported further recovery in construction
- Rebound in services sector – growth in telecom, financials and insurance
- Bank of Uganda Composite Index of Economic Activity points to improved business sentiments

Installed Generation (MW)



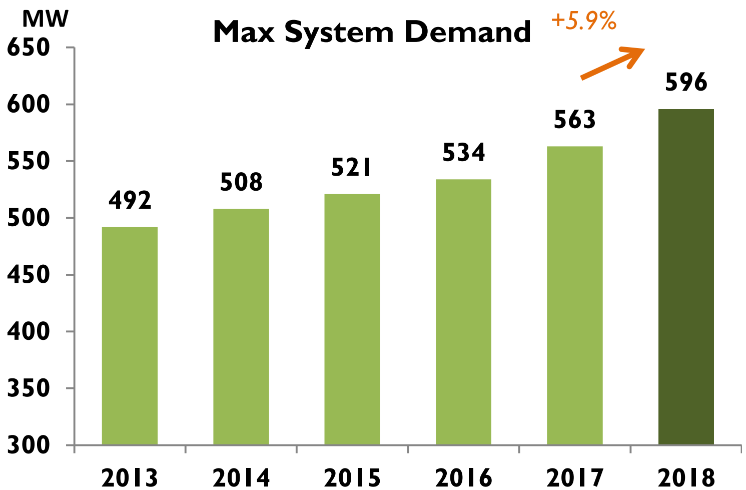
Source: Umeme, UETCL, MEMD

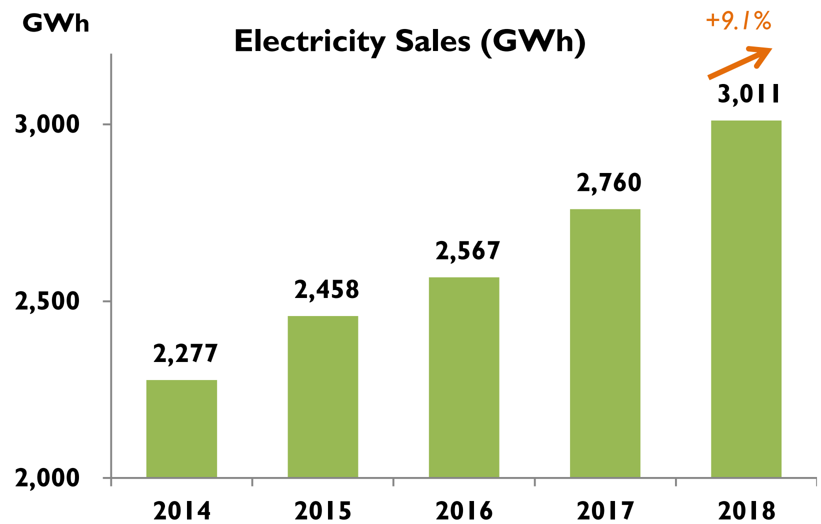
Installed Capacity

Source	MW	%
Hydro	927.3	79.5
Thermal (HFO)	101.6	8.7
Solar	40.8	3.5
Cogeneration	96.2	8.2
Diesel	1.0	0.1

Isimba Dam Commissioned on 21st Mar 2019

State of Electricity Supply





Source: UETCL

- Effective Generation – 700 MW
- Peak Demand excluding exports - +5.9%
- System Demand include exports – 645MW
- Generation Load Factor – 74%
- 5-Year Max Demand CAGR – 4.9%
- 2018 GWh sales up 8.6% (FY17: 7.5%)

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Isimba & Karuma Hydropower Plants

Isimba HPP – Complete
Commissioned – 21 Mar 2019

NRM@30: page 41
Plans for final push begin August 1985

Youth@work: pages 42-43
Nalukolongo carpenters target export market

New Vision

Tuesday, January 15, 2019 Vol.034 No.011 Price: USH 2,000 (KSH 107, TZSH 1,600, RF 933)

Project set to reduce power tariffs, load-shedding, p36

NEW ISIMBA DAM STARTS RUNNING

HOLIDAY COMPANION: ENJOY PUZZLES, ANIMAL FACTS, READING SERIES

EDUCATION
PLE results out Thursday

OIL & GAS: SECURITY BEEFED AS ORANTO STARTS OIL EXPLORATION

Karuma HPP – 93% Status
Commissioning – Dec 2019

Source: Uganda Electricity Generation Company Limited

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Electricity Demand Outlook

Strong Industrial Demand Pipeline

– 655MW by 2023

Cement, Steel, Mining, Agro-processing…

Electricity Connections Policy

– 500MW additional demand in 5 years

- 2m connections

Osukuru Industrial Complex, Tororo

National Cement Company

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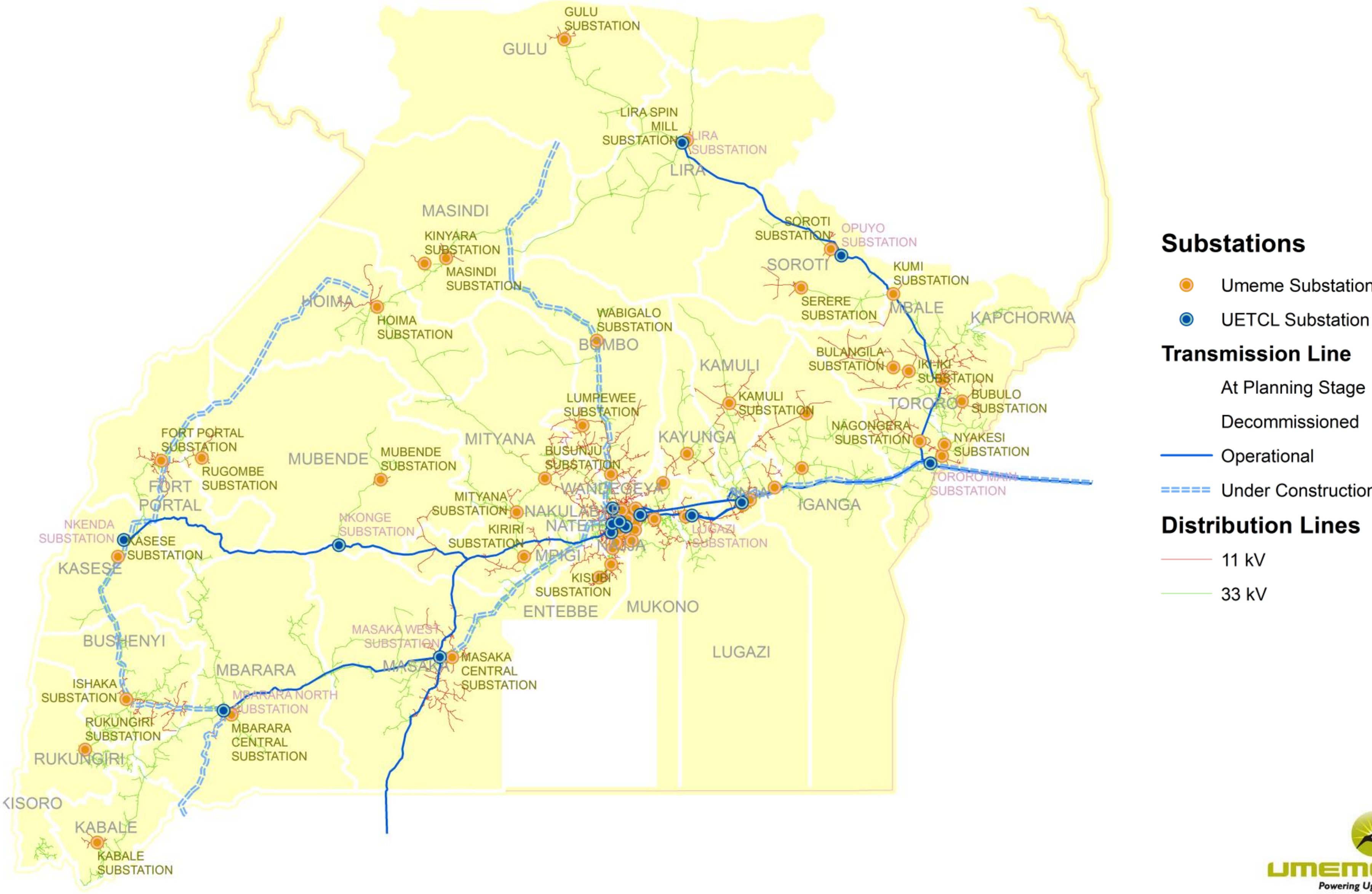
Transmission System Update

Transmission grid system availability maintained at average 98% in 2018

Transmission switch yard at Isimba Dam

Transmission Grid



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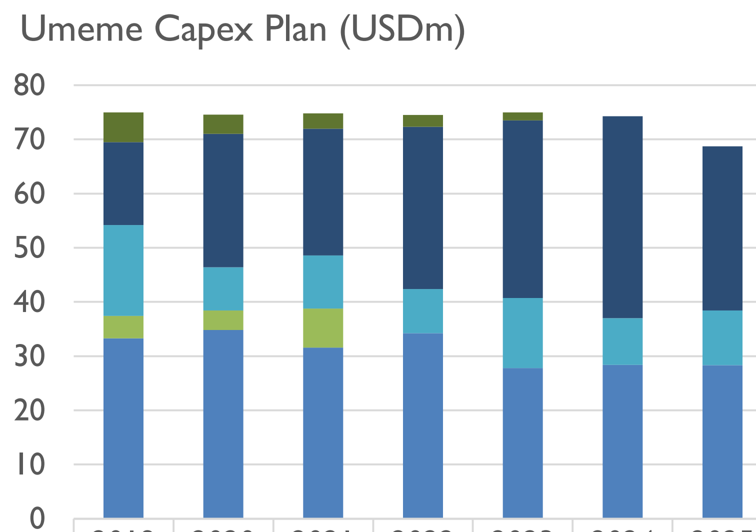
Umeme Capex Plan: 2019 - 2025



	2019	2020	2021	2022	2023	2024	2025
Asset Mgt Systems	5.5	3.6	2.8	2.2	1.5		
Asset Performance and Reliability	15.3	24.6	23.4	29.9	32.8	37.3	30.3
Asset Replacement	16.8	8	9.8	8.2	12.9	8.6	10.1
Technical Losses	4.1	3.6	7.2				
Growth and Access	33.3	34.8	31.6	34.2	27.8	28.4	28.3

Umeme Capex Focus: 2019 - 2025

- Network Adequacy to meet forecast growth driven by need to absorb the anticipated generation;
  - *Priority in industrial parks and industrial zones of Namanve, Mukono, Iganga, Kapeeka, Luzira and Mbale*

- Improvement of reliability and Quality of supply;
  - Priority will be to inject new substations and new transformer zones in high growth areas

- Support the Government agenda for accelerated access.
  - T*arget is to connect 2M+ customers in the next 6 yrs*

- Improve efficiency of the distribution network by leveraging on new technologies

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Concession Extension

Government supportive of contract resolution

Conclude talks on Umeme concession, Kasaija directs

The concession. Umeme is currently operating a 20-year concession through which it supplies electricity across Uganda. The concession is expected to expire in 2025.

BY CHRISTINE KASEMIIRE
editorial@ug.nationmedia.com

KAMPALA. Finance minister Matia Kasaija has directed the Ministry of Energy and the Attorney General to finalise negotiations for the extension of Umeme's concession before March.

In a February 12 letter seen by *Daily Monitor*, Mr Kasaija directed the Energy Ministry and the Attorney General to create a technical team to engage and finalise negotiations concerning the Umeme concession.

"This is to request you to nominate a technical team from all agencies herewith copied to commence and finalise negotiations under the Umeme concession within one month," the letter reads in part.

The team, the letter indicates, will be drafted from Uganda Electricity Distribution Company Limited, Uganda Electricity Transmission Company Limited, Electricity Regulatory Authority, Solicitor General, Ministry of Justice, Director Private Public Partnership Unit, Director Privatisation Unit and Ministry of Energy.

The letter comes on the back of two presidential directives on November 28 2018 and January 17 2019 where President Museveni directed for

20

THE NEGOTIATIONS WILL SEEK TO EXTEND UMEME'S 20-YEAR CONCESSION WHICH IS DUE TO EXPIRE IN 2025

the commencement of negotiations to extend the Umeme concession.

Mr Kasaija yesterday told *Daily Monitor* there was need to expedite the negotiations to give Umeme assurance of contract extension.

"If we do not do so, (finalise negotiations), we will have a problem, because the contract is about to end and a lot needs to be done. If we agree for it to be renewed they can invest," he said, explaining that Umeme cannot take investment decisions without being assured of the extension.

Umeme has a 20-year concession to distribute electricity, which is expected to expire in 2025.

Mr Kasaija said it was important that the extension is negotiated early enough to allow enough time for different stakeholders such as government to scrutinise it.

Ms Irene Muloni, the Energy Minister yesterday, said she was not aware of the letter.

"I have not seen the letter. You cannot ask me to comment on something I have not seen," she said.

It is understood that the President has previously indicated that the negotiations should seek favourable terms that will eventually lead to a decrease in the price of electricity.

In December last year the Parliamentary Natural Resources Committee in December warned Electricity Regulator Authority not to force a situation where the concession would be extended before expiring.

"Please don't be deceived that tomorrow we find you have extended the concession with Umeme before it expires," Ms Ann Maria Nankabirwa, Kyankwanzi Woman MP and member of natural resources committee said.

Mr Stephen Illungole, the Umeme media coordinator, said the directive was good news, adding it gives the company confidence to mobilise funds for long-term investments.

"It will enable us mobilise and deploy long-term financing needed to evacuate the new generated power from Isimba and Karuma dams," he said, adding that this will also enable them to enroll the remaining 250,000 customers on the prepayment billing system.

"If we do not do so, (finalise negotiations), we will have a problem, because the contract is about to end and a lot needs to be done. If we agree for it to be renewed they can invest."
MATIA KASAIJA, FINANCE MINISTER

"I have not seen the letter. You cannot ask me to comment on something I have not seen."
MS IRENE MULONI, ENERGY MINISTER

BETTER TERMS

Reduce speculation: Mr Ramathan Ggoobi, an economist at Makerere University Business School, said the extension should be expedited to eliminate speculation in the electricity sub-sector that continues to undermine investment decisions.

Recently the President had sounded his disappointment with Umeme over continued failure to bring down the cost of electricity.

This had as a result caused a lot of speculation with some people indicating that the 20-year concession would not be extended.

Mr Ggoobi said he believes that government will negotiate better terms since the President has taken interest in the matter.

Directed: President Museveni has twice directed for the commencement of the negotiations although he had previously raised concern over Umeme's failure to bring down the cost of electricity. FILE PHOTO

Negotiate extension of Umeme concession, Museveni directs

Directive. This directive was issued through a November 28 letter that the *Daily Monitor* has seen.

BY NELSON WESONGA

KAMPALA. President Museveni has instructed Energy minister Irene Muloni to commence negotiations to extend Umeme's power distribution concession, which is due to expire in 2025.

This directive was issued through a November 28 letter that the *Daily Monitor* has seen.

It follows a call for him to address the matter before he switches on Isimba and Karuma hydropower plants in order to restore certainty in Uganda's electricity sector.

"I have received information that the delay in starting negotiations on the Umeme concession is affecting the market," Mr Museveni wrote.

He said any developments that might delay the negotiations should be brought to his attention.

Ms Muloni neither picked this reporter's calls nor responded to the text messages asking her for comment.

On March 12, Mr Museveni had stepped on the concession extension brakes.

Return on investment

He argued then that the 2005 'concession was messed up by certain elements' in the Energy ministry.

[illegible]

1.3m

Connected. Number of premises Umeme has connected to electricity

ECONOMIST'S VIEW

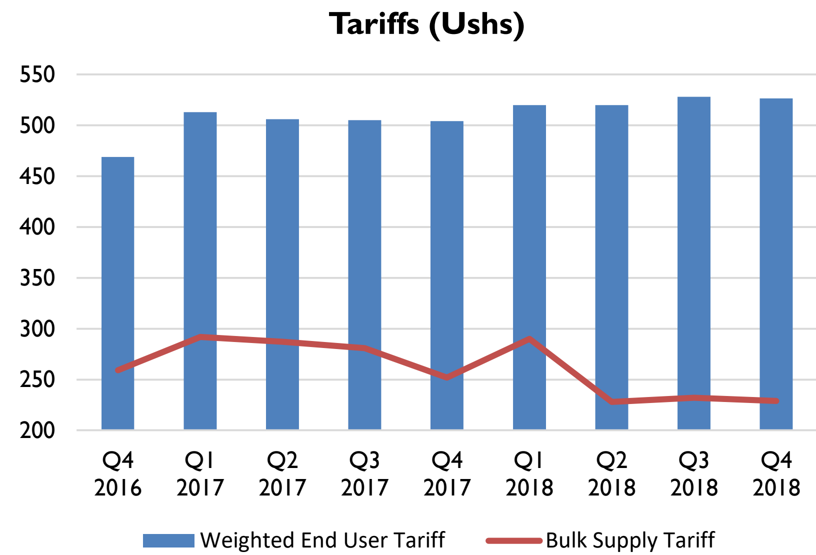
Outlook. Ramathan Ggoobi, an economist at Makerere University Business School, said NSSF's investment in Umeme might have informed Mr Museveni's decision to pen the November 28 letter.

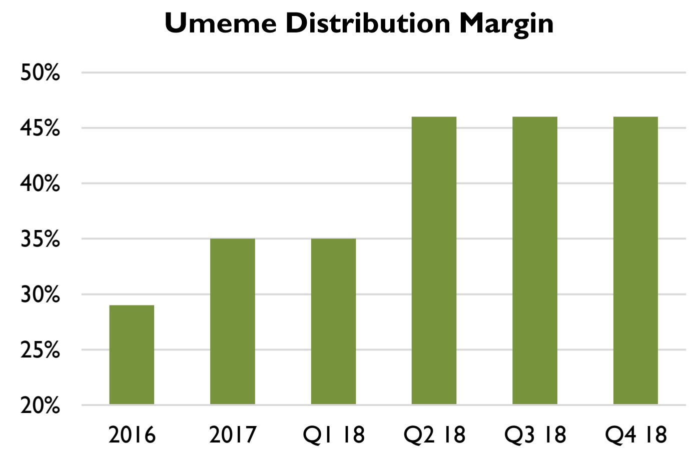
[illegible]

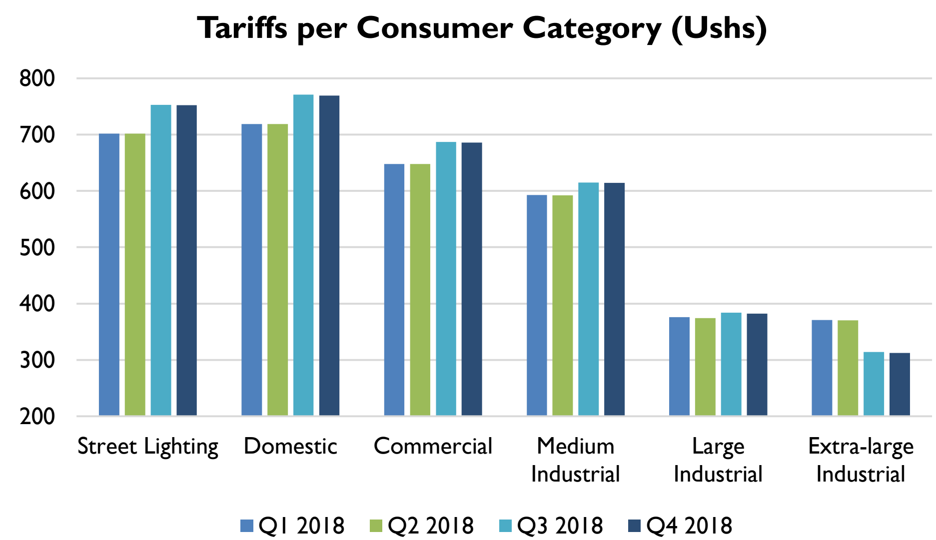
2018 Regulatory Updates

- Revenue Recovery: UShs 103.7 billion lifeline tariff revenue was recovered in Q2 – Q4 2018 tariffs
- Bujagali Energy Limited refinancing was completed – directed towards reducing large-industrial tariffs
- Offsets of USD 8.5m effected for arrears government installations (post-paid accounts)
- 331 out of 469 government installations converted to pre-paid metering
- Pending unrecognized Capex by ERA – US$ 93m
- Ongoing engagement on 2019 – 2025 tariff parameters

Electricity Tariff Developments



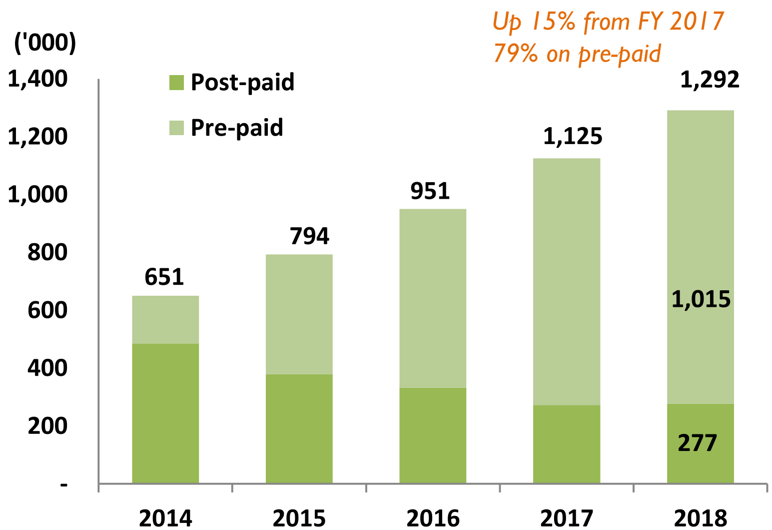




- *Weighted Average End User Tariff up 4.4% in 2018*
- *Bulk Supply Tariff reduced by 21.4% in Q2 2018*
- *Bujagali Refinancing benefits (generation tariff down from 11 cents from 8 cents) passed onto extra-large industrial category to drive consumption*
- *Recovery of UShs 103.7 billion lifeline tariff revenue started in Q2 2018*
- *Distribution Margin increased as a result of lifeline revenue recovery*

Electricity Demand: +9.1%

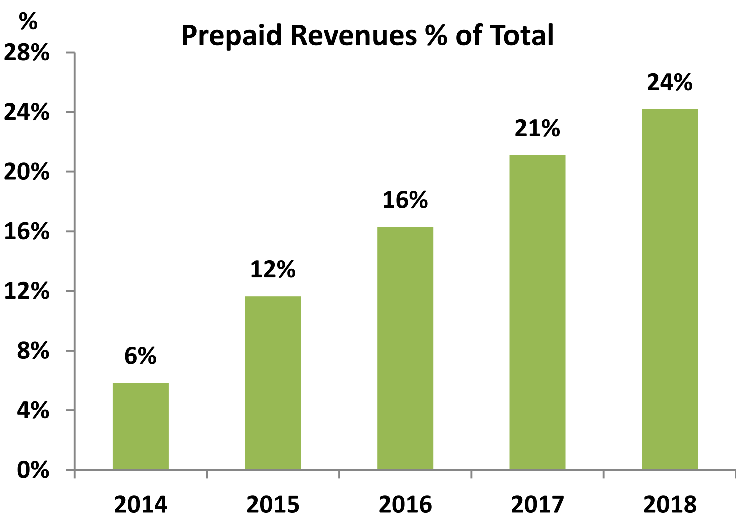
Customer numbers



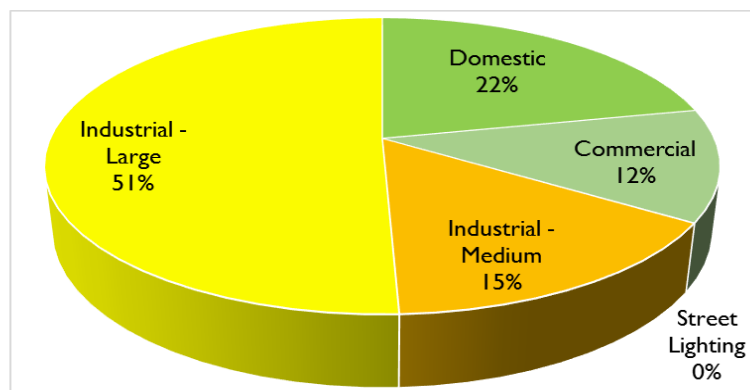
Sales (GWh) Growth

Category	GWh	Growth (y/y)	FY 2017 (%)
Domestic	640.4	+2.4%	+6.9%
Commercial	366.9	+7.5%	+5.7%
Street Lighting	1.1	-32.9%	-0.7%
Industrial – Med	477.2	+10.4%	+3.0%
Industrial – Large	1525.4	+12.2%	+9.7%
Total	**3,011.0**	**+9.1%**	**+7.5%**

Prepaid Revenue Share

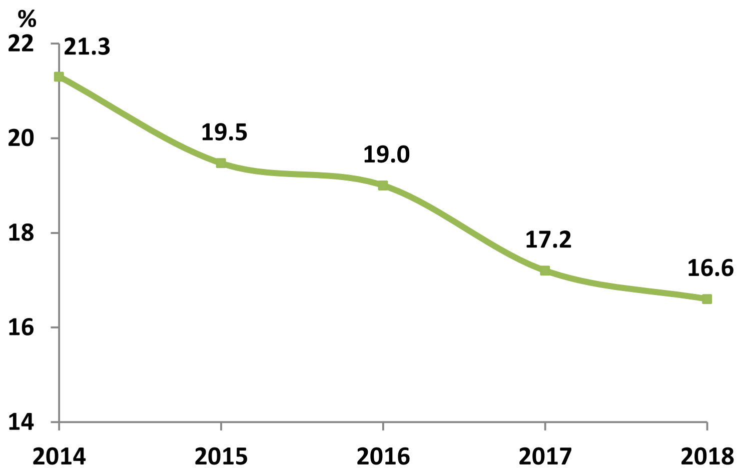


Sales (GWh) by Customer Category

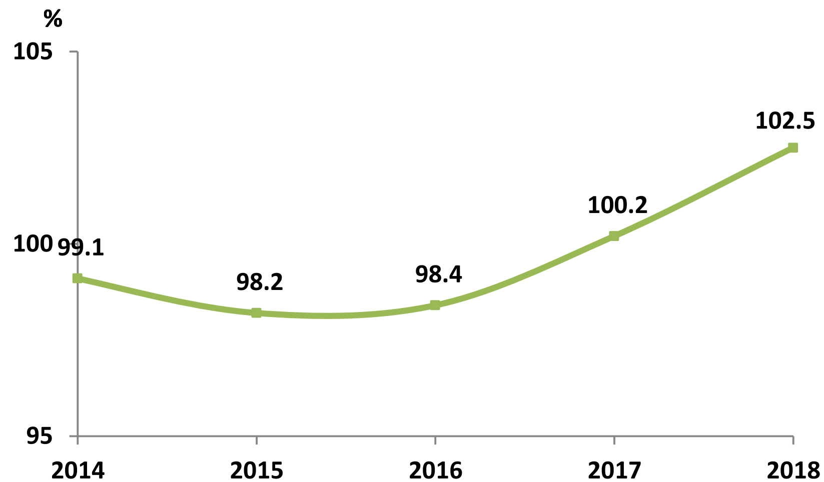


Operational Performance

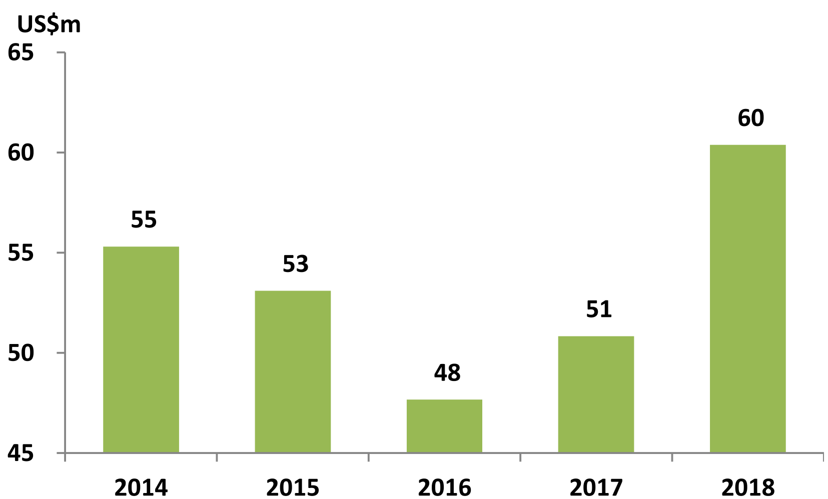
Energy Losses



Revenue collections



Operating costs



Regulatory targets*

Tariff parameter	'13	'14	'15	'16	'17	'18
Energy losses (%)	19.6	21.0	18.9	17.4	16.1	15.1
Collection rate (%)	81.1	97.5	97.7	97.9	98.2	98.5
Operating allowance (US$m) **	36.5	44.4	45.7	47.2	48.7	50.2

** Umeme financial year (Jan-Dec). Tariff year runs from 1st March*
*** Allowance is adjusted annually for international and local inflation*

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Financial Performance (US$)

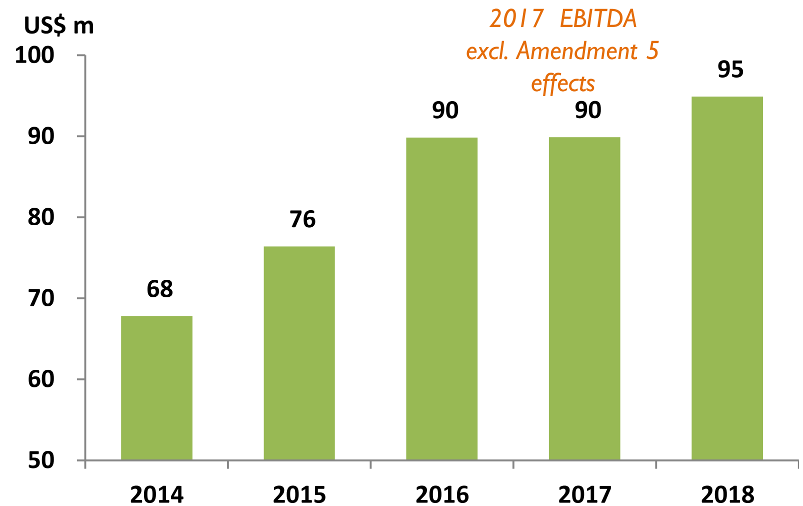
Financials Summary (US$m)

Income Statement	2018	2017	%ch
Revenue	400.3	410.7	-2.5%
Cost of Sales	(244.6)	(265.7)	-7.9%
Gross Profit	**155.7**	**145.0**	**+7.3%**
Operating Expenses	60.4	55.3	+9.2%
EBITDA	*94.9*	*89.9**	*5.6%*
Finance Costs (ex. lease)	16.1	19.0	-15%
PBT	**52.3**	**44.0***	**18.9%**
Tax Rate	**31.6%**	**30%***	**-**
Profit After Tax	*35.8*	*30.8**	*+16.3%*

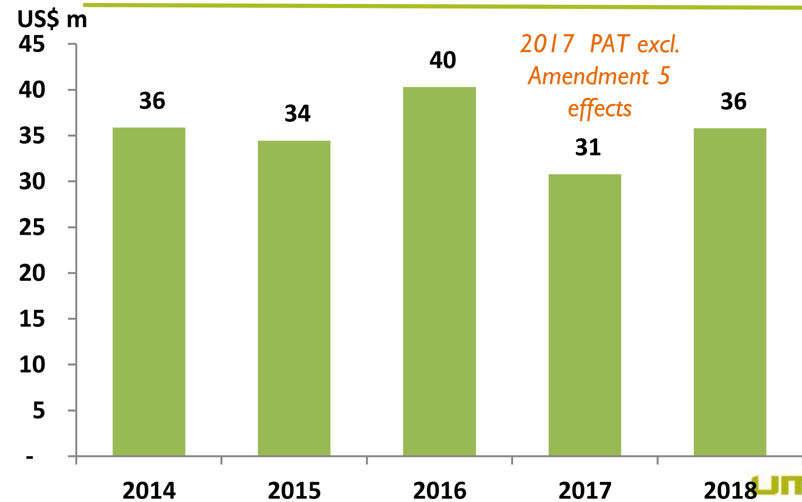
** Adjustments for effects of Amendment 5*
*** Assuming 30% tax rate on adjusted PBT.*

Financial Position at	FY 2018	FY 2017	%ch
Total Assets	662.8	645.0	+2.8%
Shareholders Equity	194.3	169.6	+14.6%
Net Debt	**147.0**	**187.0**	**-21.4%**

EBITDA (US$)



Profit after tax (US$)



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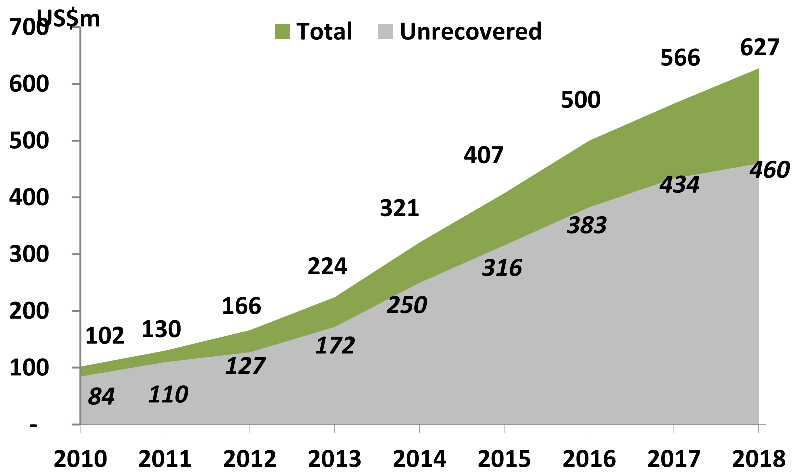
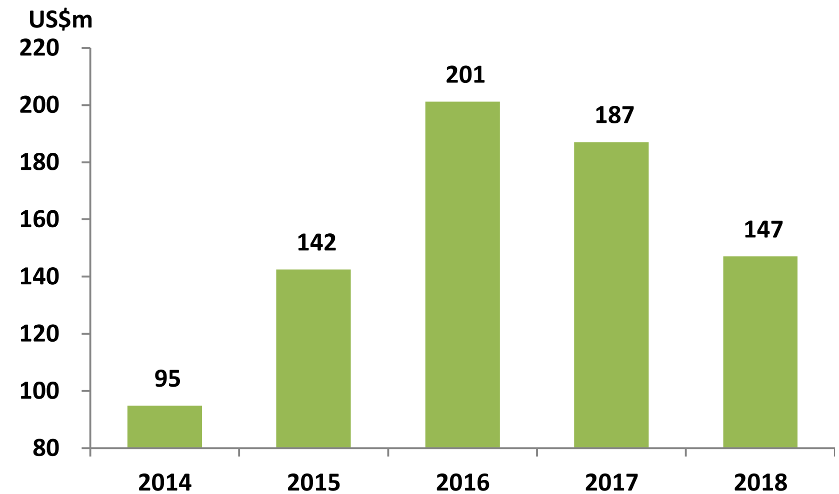
Financial Highlights

Cumulative Capital investment

US$ 62m invested in 2018



Net Debt (US$m)

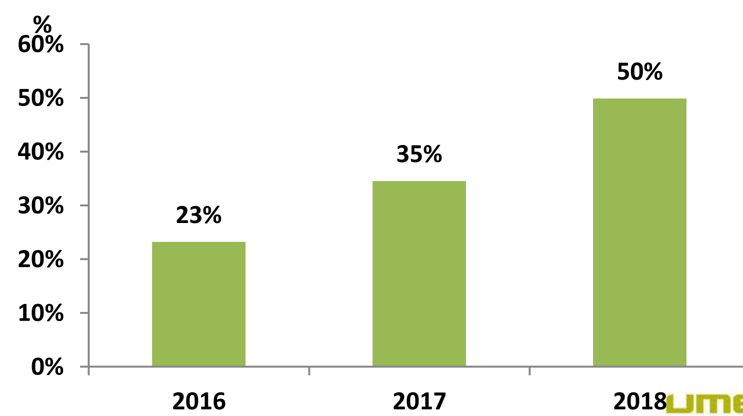


Sample projects in 2018

Load Growth

- Kampala Industrial Business Park/Namanve 33kv Industrial Ring
- Upgrade of Gulu sub-station
- Nyakesi substation, Tororo
- Kawanda-Kapeeka Load Transfer

Dividend Pay-out Ratio



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Financial Performance (UShs)

Financials Summary (UShs bn)

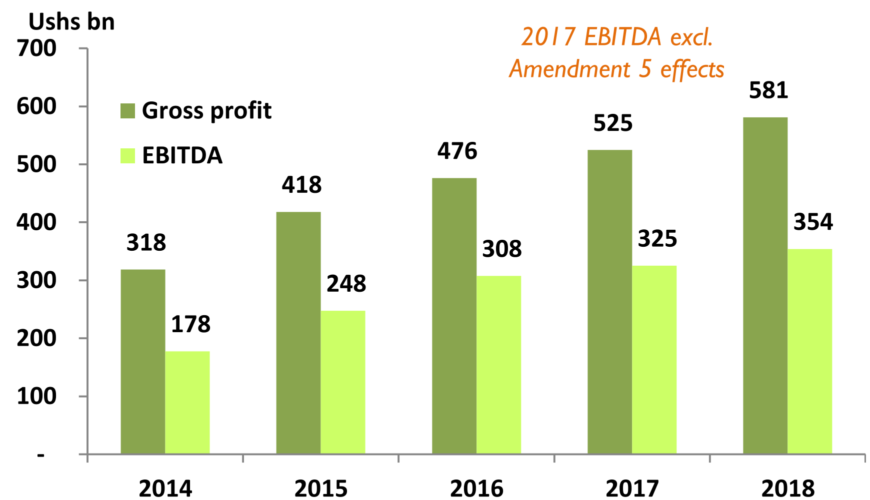
Figures are rounded.

Income Statement	2018	2017	%ch
Revenue	1,493.2	1,485.2	+0.5%
Cost of Sales	(912.0)	(960.5)	-5.0%
Gross Profit	**581.2**	**524.7**	**+10.8%**
Operating Expenses	225.6	199.3	+13.2%
EBITDA	**354.1**	**325.9***	**+8.6%**
Finance Costs (ex.lease)	*60.1*	*68.6*	*-12.3%*
Profit Before Tax	195.1	159.8*	+22.1%
Tax Rate (%)	**31.9**	**30****	
Profit After Tax	132.8	111.9*	+18.7%
EPS	**82.0**	**68.9***	
DPS (Total)	40.9	7.6	

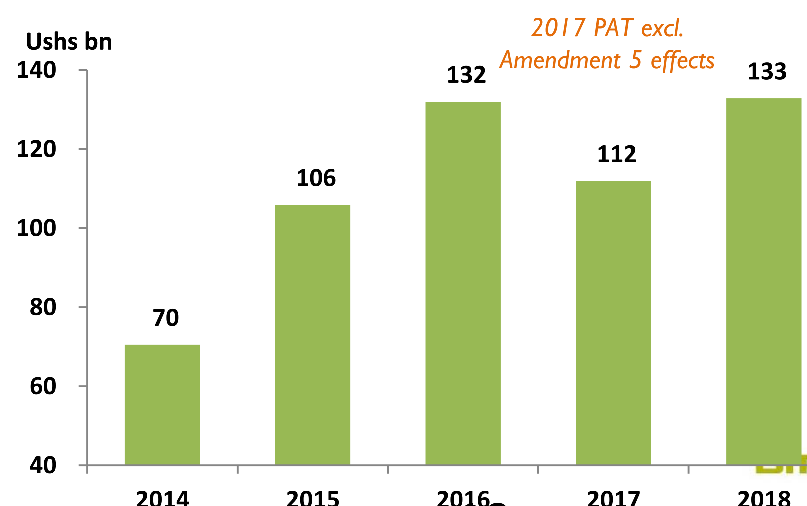
**Figures adjusted for effects of Amendment*
***Assuming 30% tax rate.*

Financial Position at	FY2018	FY 2017	%ch
Total Assets	2,463.6	2,349.4	+4.8%
Shareholders Equity	722.2	617.7	+16.9%
Net Debt	546.5	681.2	-19.8%

Gross Profit & EBITDA (UShs)

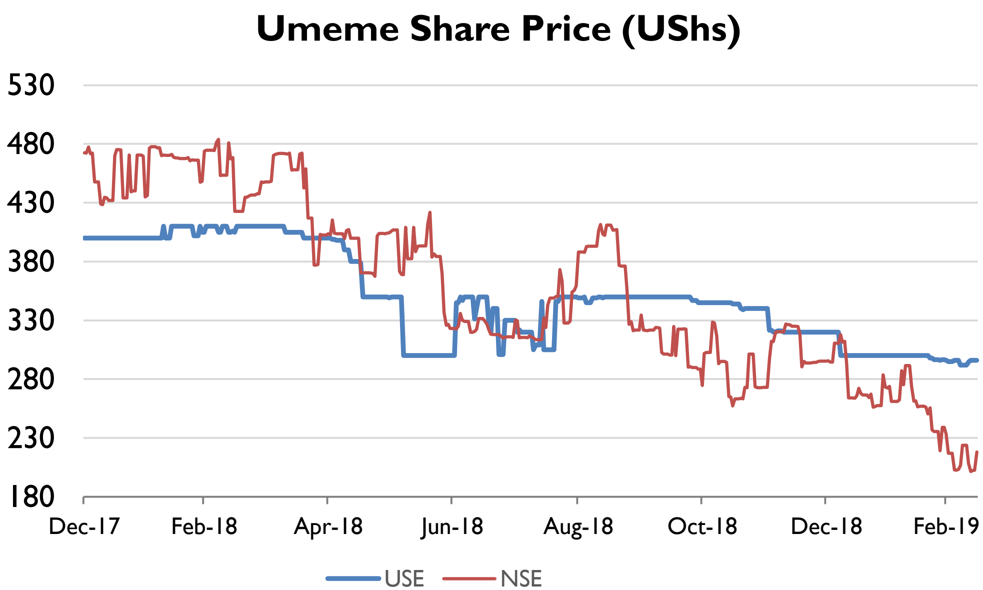


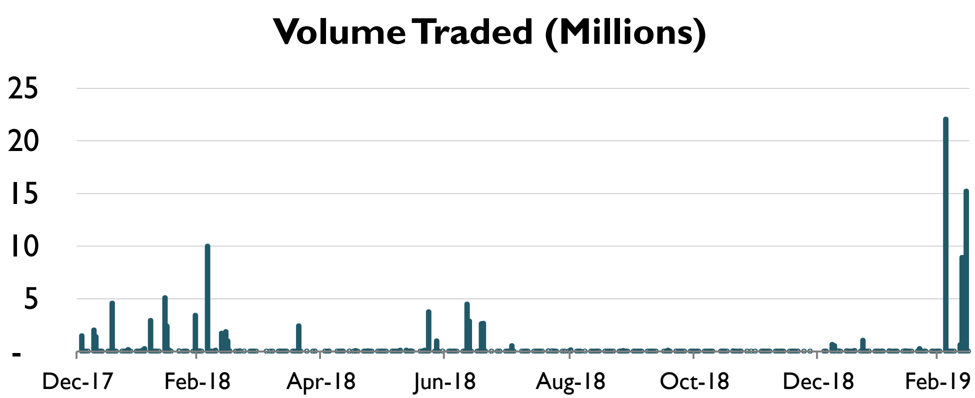
Profit after tax (Ushs)



Trading Update

Market cap US$129m at UShs 296 share price





- Buy-Out amount less net debt at $396m
- Share trading at Buy-Out amount less net debt/Market Cap multiple of 3x
- Dividend yield at 13.8% relative to 364-day Treasury Bill at 12.5%
- 2019 YTD vol. traded – 50.2m
- 2018 vol. traded – 62.4m
- YTD Daily Value Traded - $54,250

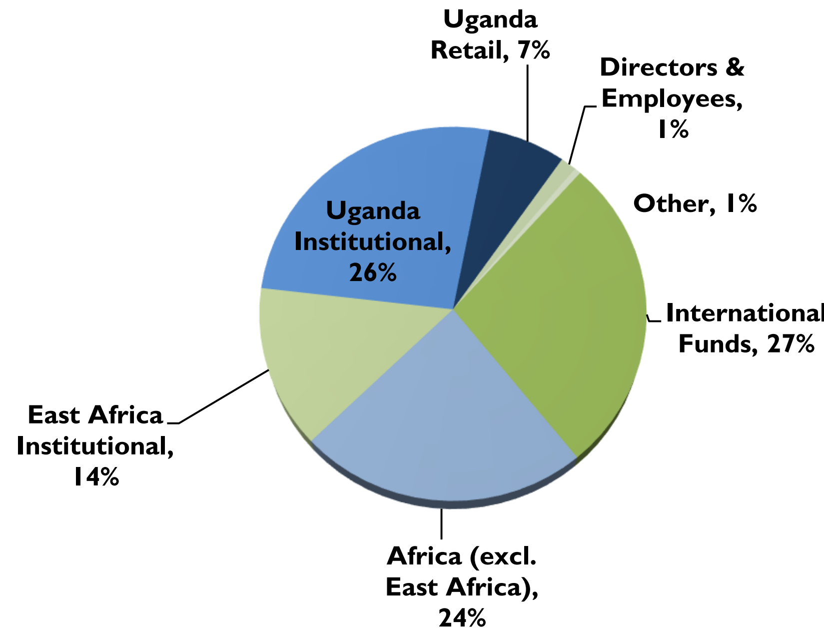
Shareholder Update

Shareholder Summary

No.	Top 20 Shareholders	% Held
1	National Social Security Fund Uganda	23.2%
2	Allan Gray*	10.0%
3	Kimberlite Frontier Africa Master Fund	8.9%
4	Utilico Emerging Markets Limited	5.0%
5	Investec Asset Management Africa Fund	4.3%
6	Imara SP Reid	4.1%
7	The Africa Emerging Markets Fund	3.9%
8	International Finance Corporation	2.8%
9	Coronation Global Opportunities Fund	2.6%
10	Duet Fund	2.5%
11	Vanderbilt University	1.2%
12	Conrad N Hilton Foundation	1.1%
13	BCI Africa Equity Fund	1.1%
14	Kuwait Investment Authority	1.0%
15	Central Bank Of Kenya Pension Fund	0.9%
16	William Byaruhanga	0.8%
17	Sudhir Ruparelia	0.6%
18	Frontier Market Opportunities Master Fund	0.6%
19	Stanchart Nominees NR A/C 9318	0.5%
20	KCB Nominees A/C 915A	0.5%
	Other	25.1%

**Aggregated accounts*

Umeme Shareholder Distribution



Company Priorities

Complete negotiation of 2019-2025 tariff parameters with ERA

Concession Negotiation

- Resolve outstanding $93m unverified Capex
- Regulatory Approval for multi-year capex plan
- Independent Verification Firm to secure capex

Protect existing Concession agreements

Funding for new investment cycle (2019-2025)

Deliver Capex

Ensure full recognition in Regulated Asset Base

Implement Electricity Connection Policy

Thank You